

Discussion of Huang, Liu, Luo, & Wu: “No Interest” Advertising in High-Cost Consumer Credit Markets

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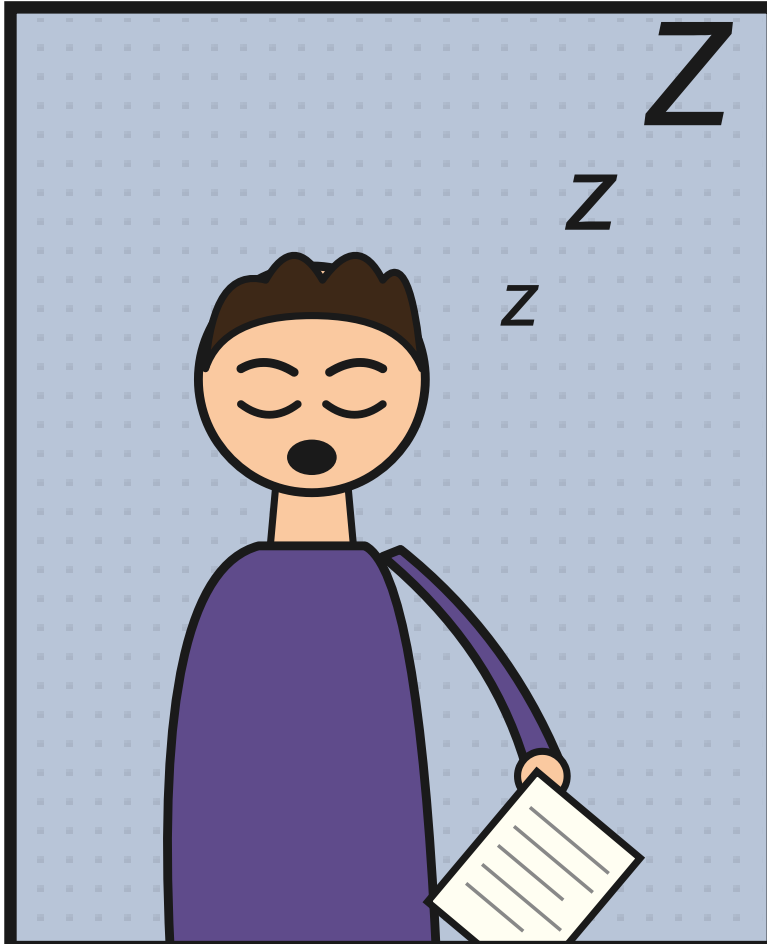


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Three potential outcomes for this paper



No interest



Some interest



Lots of interest

What are the effects of cash advance apps advertising as “No Interest” loans to consumers?

Main Data: Sensor Tower

- **Mobile app use** based on downloads & number of active users
- **Advertising data** daily ad share & raw ad (then code up in ML)
- Cash advance app **pricing structures** (Finder.com)

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Main Methodology and Key Result

- Use variation in ad impressions driven by campaign-spending commitments
- No Interest advertisements by cash advance apps cause  app usage (more downloads & more active users)

Survey Experiment

- Randomly vary “No Interest” advertising of cash advance products
- “No Interest” advertising  consumer understanding

Paper studies an interesting & topical subject

- Limited academic literature on online cash advance products / EWA
- Policy debate on interest-free advertising
 - CFPB interpretive rule (2024, 2025)
 - Court cases & state-level approaches
- Links to broader topic on teaser rates & shrouding “junk fees”
 - Drip pricing
 - 0% introductory rate on credit cards
 - Adjustable-rate mortgages
 - Introductory higher rate on savings accounts/CDs

Paper can interest readers across marketing, economics, & finance

Beyond scope of this paper but...

How often and why do consumers tip their lender?

- Interesting to understand **tipping** in this context!

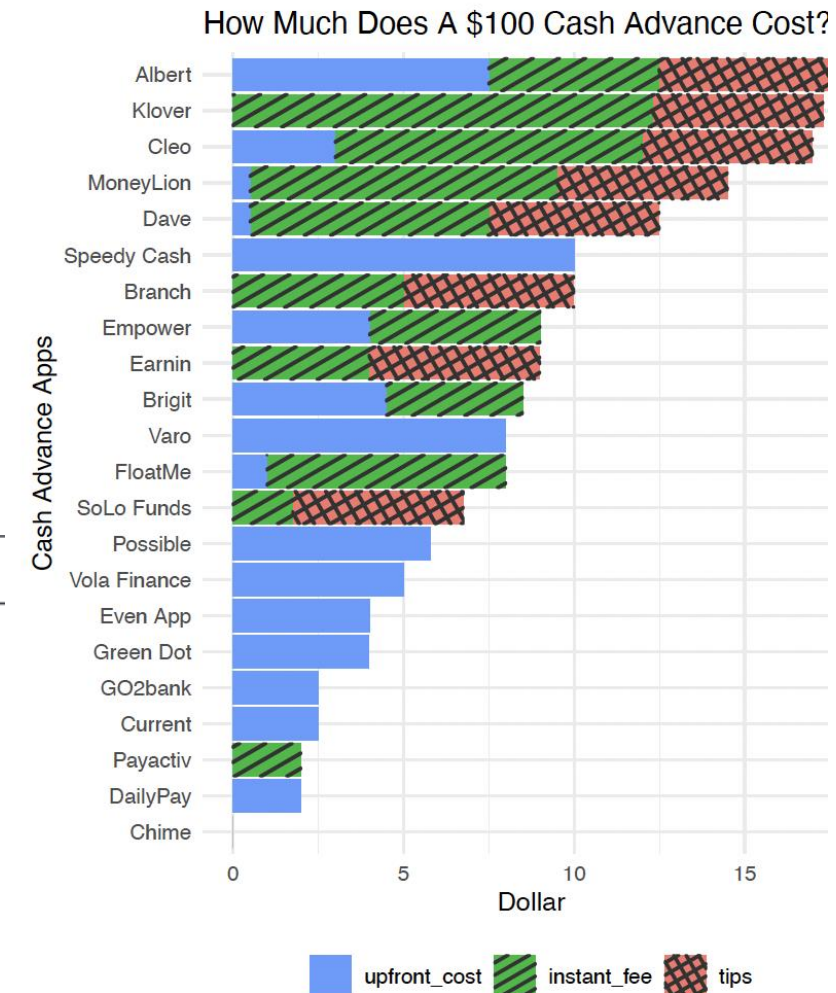
(Researchers could infer in transaction data)

- Is Chase leaving money on the table?!
- Appears different to existing tipping literature

(Haggag & Paci, 2014; Azar, 2020;

Chandar, Gneezy, List, & Muir, 2019)

Reason for tipping	United States	Israel
1. Avoid feeling guilty	60.2%	13.3%
2. Avoid embarrassment	44.1%	23.2%
3. Tipping being a social norm	84.7%	58.1%
4. Show gratitude	67.8%	68.9%
5. Waiters depend on tips	66.9%	32.4%
6. Get poor future service if I don't tip	13.6%	2.5%
7. The waiter may yell at me if I don't tip	4.2%	0.0%
Total number of reasons	3.42	1.98
Number of observations	118	241



#1: Economic Outcome

Economic outcome of interest is loan use NOT app activity!

- App activity is a **proxy** for the outcome lenders care about
 - Active user measure is a black box measure that is hard to interpret
 - Expect substantial **attrition** between proxy and **downstream outcome**
- Advert  Download App  Make Application  Complete Application

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Advert  Download App  Make Application  Complete Application
- Need to demonstrate **relationship** between **app downloads/activity** vs. **purchases**
 - Especially important as some of these firms have multiple product offerings
 - Validate this (even in other sectors?) (Shapiro, Hitsch, Tuchman, 2021)
- For marketing audience, app downloads/activity could be the objective that firm's marketing group is maximizing?

#2: Disclosure

Survey experiment order is inconsistent with consumer experience

Order in Survey Experiment:

1. App description
2. Advertisement
3. Test understanding

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Order in Decision:

1. Advertisement
2. App description

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Order in Survey Experiment:

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Order in Decision:

1. Advertisement
2. App description
3. Pre-contractual disclosure (Regulation Z / TILA: Truth in Lending Act)
 - **Understanding at this stage is key: the purchasing decision!**
 - **Test TILA disclosure! Class action lawsuits, different approaches across states**
 - **Extend your data to study CFPB interpretive rule (July 2024) & reversal (Dec. 2025)**

Are advertising regulations and pre-contractual disclosures complements or substitutes?

Challenges of regulating advertising

- Advertising is increasingly challenging to monitor
 - TV, radio, social media, and paid influencer partnerships
- Advertising is harder to regulate than consumer finance disclosures
 - Requires more judgment

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Compare to disclosures

- Disclosures may not be read or understood
- Consumer finance disclosures are not designed for a digital world
- Easier to monitor whether disclosures are provided in format required

Could you speak to this bigger issue with your global data?

- Very different regulatory regimes across countries that may change over time

#3: Consumer Understanding

Results show a very high rate of consumer understanding that the product is not zero cost

- Misunderstanding changes from 1.7% (Control) to 10.6% (No Interest)
- Overwhelming majority (89%) **understand that the product is not free**

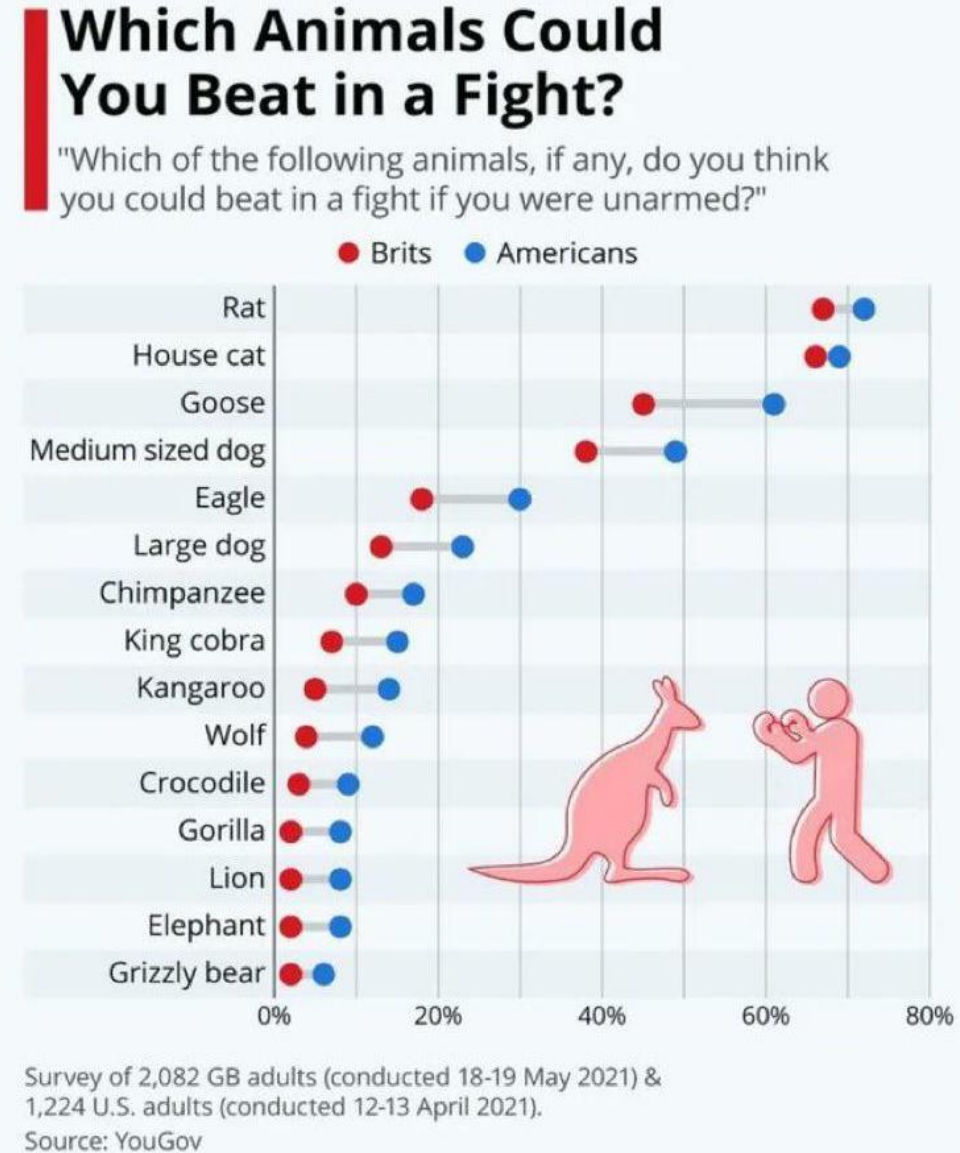
	dollar cost average	dollar cost =\$0
No interest ads	-2.268*** (0.610)	0.089*** (0.019)
Other ads	-0.706 (0.615)	0.025 (0.019)
Baseline	14.469*** (0.432)	0.017 (0.013)
Observations	868	868

Benchmarking 10.6% of Americans

- Americans (%) answering “big 3” financial literacy questions incorrectly:
16% Interest , 21% Inflation, 17% Risk
(Lusardi & Mitchell, 2020)

Benchmarking 10.6% of Americans

- Americans (%) answering “big 3” financial literacy questions incorrectly:
16% Interest , 21% Inflation, 17% Risk
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- Americans (%) who think that they could beat a Wolf/Crocodile in an unarmed fight



Thank You!

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Bonus Content:

What makes an effective advertisement?

- **Salient** hook for inattentive consumers
- **Informs/reminds** consumers about a brand/product
- **Memorable** ([Example 1](#), [Example 2](#))
- Advertisement content may be orthogonal to the product itself

**Compare two similar advertisements to pin down
salience vs. information?**

- **Compare same-app, similar quality. Different No Interest salience.**

Example of an effective advertisement

